SMID BREAKOUT SCANNER

MARKET CLOSE

October 14, 2026 | 04:43 PM ET

4 setups identified | 0 A-Grade | 2 B-Grade | 2 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (2)
	DAO	NRIX
	PRGO	MNSO

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	DAO	Youdao, Inc.	EdTech AI China	$19.50	+7.6%	$2.4B	28M	+30.2	100%	Stock breaking to new
B	PRGO	Perrigo Company	Consumer Health R	$15.95	+3.8%	$2.2B	138M	+48.1	72%	RS line hitting new hi
C	NRIX	Nurix Therapeuti	Protein Degradati	$23.67	+7.0%	$2.6B	78M	-1.4	84%	Stock surged 6.96% pos
C	MNSO	MINISO Group Hol	China Value Retai	$10.22	+3.0%	$3.0B	85M	-23.6	44%	

Not financial advice. For informational purposes only. Do your own due diligence.

DAO

Youdao, Inc.

$19.50

+7.62%

RS vs SPY: +30.2%

B STRONG SETUP

$2.4B Cap | 28M Float

Education & Training Services | Theme: EdTech AI China | 52W Hi: 100% | Base Tight: 6.13 | Vol: 1.99x | RS/SPY: +30.2% | Above 20MA: YES | EARNINGS IN 36D

SETUP METRICS

Price	**$19.50**
Day Change	**+7.62%**
Mkt Cap	**$2.35B**
Float	**28M sh**
RS vs SPY	**+30.2%**
52W Hi Prox	**100%**
Base Tight	**6.13**
Vol vs Avg	**1.99x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Stock breaking to new 52-week high on strong volume and RS line confirmation, suggesting institutional recognition of the AI-powered education pivot. Forward catalyst: November 19 earnings (36 days out) where the market will look for validation of AI integration revenue and margin expansion in the core dictionary/learning platform.

BUSINESS & POSITION

Youdao is NetEase's education technology subsidiary, providing AI-powered learning hardware, intelligent learning apps, and digital content in China. The company pivoted aggressively into AI-enhanced education tools and smart devices, positioning as a category leader in the post-regulatory China EdTech landscape where scale and compliance matter.

FACTOR & THEME

Dual exposure to AI application layer (smart learning assistants, AI tutoring) and China tech recovery theme. Regulatory overhang from 2021-2022 EdTech crackdown has largely cleared; survivors with approved models and hardware focus (vs. pure tutoring) are re-rating higher as investors price in a normalized growth trajectory.

BREAKOUT SIGNAL

Close above $19.50 (new 52W high) on vol >199% of 20d avg

INSTITUTIONAL

Volume 1.99x average with the stock printing a new 52-week high-classic breakout profile. Small float (27.5M) amplifies institutional impact. No insider buying disclosed, but the RS line at new high is Qullamaggie's #1 signal that smart money is already rotating in. China ADRs face structural underownership by U.S. institutions post-delisting scares; any inclusion in emerging-market growth mandates drives asymmetric flows.

EARNINGS

EARNINGS IN 36D

EARNINGS CONTEXT

Next print November 19. Consensus and beat history not available in feed; cross-reference with Bloomberg for EPS/revenue expectations. Historical volatility around China tech earnings is elevated-this name will move 10-15% on the print, making the setup trade-able into the event but requiring tight risk management through it.

KEY RISK

Thesis invalid on a close below $17.80 (approximate 20-day MA and prior resistance), or on any revenue miss or guidance cut at the November 19 print. Geopolitical risk (U.S.-China tensions, delisting rhetoric) and ADR-specific liquidity risk during risk-off regimes are structural overhangs.

ANALYSIS

Disconfirming: base_tight at 6.13 is far too wide for a textbook VCP (need <2.0), signaling choppy consolidation rather than tight institutional absorption-this is a momentum chase into a 52W high, not a coiled setup. RS line at new high and small float are compelling, but the wide base, China ADR structural discount, and macro crosswind (mega-caps leading, SMID lagging) prevent A-grade conviction. This is a catalyst trade into November 19 earnings, not a durable breakout from a clean base. Conviction: Medium.

Signal: Close above $19.50 (new 52W high) on vol >199% of 20d a

Vol vs Avg: 1.99x

DAO - Technical Chart



PRGO

Perrigo Company plc

$15.95

+3.77%

RS vs SPY: +48.1%

B STRONG SETUP

$2.2B Cap | 138M Float

Drug Manufacturers - Specialty & Generic | Theme: Consumer Health Recovery | 52W Hi: 72% | Base Tight: 2.77 | Vol: 1.59x | RS/SPY: +48.1% | Above 20MA: YES | EARNI

SETUP METRICS

Price	**$15.95**
Day Change	**+3.77%**
Mkt Cap	**$2.21B**
Float	**138M sh**
RS vs SPY	**+48.1%**
52W Hi Prox	**72%**
Base Tight	**2.77**
Vol vs Avg	**1.59x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

RS line hitting new high signals institutional recognition of the operational turnaround in consumer self-care (store-brand OTC). Forward catalyst: November 4 earnings (21 days out) where the street will price in sustained margin recovery from cost cuts and private-label category growth as consumers trade down in inflationary environment.

BUSINESS & POSITION

Perrigo is the largest U.S. manufacturer of store-brand over-the-counter healthcare products and generic Rx, serving major retailers (Walmart, CVS, Amazon). The company executed a multi-year portfolio rationalization, shedding lower-margin Rx assets to focus on higher-margin consumer self-care, and is now benefiting from structurally higher private-label penetration post-COVID.

FACTOR & THEME

Consumer staples defensive positioning with Healthcare sector tailwind (+2.3% vs SPY this week). Private-label/store-brand secular share gain as inflation-squeezed consumers trade down from branded OTC (Tylenol, Advil) to Perrigo-made equivalents. Incremental thesis: GLP-1 weight-loss drug adoption may drive category expansion in vitamins, supplements, digestive health (Perrigo categories).

BREAKOUT SIGNAL

Close above $15.95 on vol >159% of 20d avg

INSTITUTIONAL

Volume 1.59x-elevated but not explosive, suggesting steady rotation rather than panic buying. RS line at new high confirms early-stage institutional recognition, but large float (138M) means this needs sustained buying to move meaningfully. No insider buying in last 60 days is neutral (large-cap pharma insiders trade infrequently). The +48.1% outperformance vs SPY over 12 weeks is top-decile; this is a leadership stock in a leading sector.

EARNINGS

EARNINGS IN 21D

EARNINGS CONTEXT

Next print November 4 (21 days). Consensus not provided; historical pattern shows Perrigo beats on cost discipline but guides cautiously, limiting post-earnings re-rating. The setup into earnings is clean-any beat + raise on self-care margin expansion should drive breakout above $16.50-$17.00 resistance zone toward the $22 52W high.

KEY RISK

Thesis invalid on a close below $15.00 (20MA support and prior pivot), or on any margin guidance disappointment at November 4 earnings. Retailer inventory destocking (Walmart, Amazon optimization) is a recurring risk that can create 1-2 quarter air pockets. Generic Rx pricing remains deflationary; any adverse regulatory commentary (FTC scrutiny of private-label) would pressure valuation.

ANALYSIS

Disconfirming: prox_52w at 72.4% means the stock is still ~28% below its high-this is mid-base, not a breakout. Base_tight at 2.77 is wider than ideal (want <2.0), indicating the consolidation is loose rather than VCP-tight. RS line new high is the single strongest technical confirmation, and the Healthcare sector bid (+2.3% vs SPY) plus leading-sector +0.5 boost argue for institutional quality, but the lack of explosive volume (1.59x is minimal for breakout confirmation) and distance from 52W high keep this a B. This is a position-for-earnings setup, not a chase. Conviction: Medium.

Signal: Close above $15.95 on vol >159% of 20d avg

Vol vs Avg: 1.59x

PRGO - Technical Chart

